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Procurement 2022: BIG Trends and Predictions

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Executive Summary

At the start of 2022, procurement's long-term future remains bright, even if things look challenging in the near-term. The COVID-19 pandemic has cast a long shadow over business and society, and CPOs and their teams will have their work cut out for them if they are going to climb out from under it. For procurement, 2022 will be a more demanding year as teams deal with the ongoing pandemic, inflationary (and budgetary) pressures, as well as greater supply chain risk, and an evolving team staffing model. But, greater stakeholder support and the emergence of game-changing technologies will help counter those challenges. Preparation, agility, and an ability to drive value from data will be central to many procurement organizations as they advance through the year.

This report presents the BIG trends in procurement over the last few years and makes a series of equally BIG predictions for 2022 that will help procurement leaders and their teams understand the key issues at hand and better prepare for them in the year ahead.



Introduction

For nearly a decade, Ardent Partners' analysts meet each January to discuss and review the prior year and lay out plans for the new one. The analysts review, in depth, the key findings and trends from the prior years' market research studies. They also discuss the highlights and takeaways from the previous year's briefings delivered by solution providers, consultants, and investor groups.

Finally, the team reviews its consulting/advisory projects, Chief Procurement Officer ("CPO") interviews and discussions, as well as any notes from the inquiries received from any procurement and P2P practitioners (this totaled more than 650 in 2021).

These discussions helped the report author develop a list of the big trends impacting procurement today as well as a list of predictions for the industry this year. This report is the culmination of those efforts.

BIG Trends & Predictions

Procurement's momentum has not been thwarted by the global pandemic. If anything, COVID-19 and its impact on business and the supply chain has provided yet another opportunity for procurement departments to show their executives that it is a strategic function, fundamental to overall operations and enterprise success.

Ardent Partners has identified the "BIG trends" that have emerged from its recent research that will impact procurement in 2022. Ardent also makes a series of predictions based upon those trends that are intended to help Chief Procurement Officers, sourcing executives, category managers, and other procurement staffers focus on the important issues facing the profession in 2022

BIG Trend #1: COVID's Impact Continues

It is "déjà vu all over again" in 2022 as this year's first BIG trend is that the impact from COVID-19 on procurement (and everything else) remains massive. The following is from a Marketwatch.com article that published on January 10, 2022:

"The U.S. is still weeks away from a peak in the number of new COVID-19 cases as the country continues to report soaring rates of new infections due to the rapid spread of the highly transmissible omicron variant. Airlines are still canceling flights, citing weather and outbreaks

among workers. More lawmakers are testing positive for the virus.

"We believe cases in major metropolitan areas on the coasts will likely peak in the next two weeks," said a health policy expert. Though infections with omicron are thought to be milder, the sheer volume in cases still means that hospitals are filling up. It takes about two weeks after cases first start to increase to see a rise in hospitalizations. The U.S. is expected to hit a record number of COVID-19 hospitalizations within days."

But this is not American problem. This is a global problem and stories like this one are being written in a majority of countries around the world right now.

And yet somehow, even with the millions of reported cases, hospitalizations, and deaths, not to mention the direct impact on large parts of most people's lives, the overall impact of COVID remains underreported. For example, many experts believe that the actual number of deaths brought on by COVID-19 (directly and indirectly) is significantly greater than the numbers reported. When the "excess deaths" over the duration of the pandemic are considered, the body count is staggeringly higher. This is not a political statement. It is a fact that many millions more have died during the pandemic than what was expected based upon actuarial estimates.

Beyond these devastating numbers, it is also pretty clear that the massive impact on business and communities has also been underreported. That is because the full scope and breadth of this unprecedented event cannot be accurately gauged in real time. What is also clear is that the impact of the pandemic on procurement and society, at large, will far outlast the Coronavirus itself.

Procurement's Big Trends in 2022:

- COVID's Impact Continues
- Inflation is Here for the Duration of 2022
- Everything Depends on the Supply Chain
- Digital Transformation: Top CPO Priority
- Procurement's Increasing Focus on and Use of Data

Prediction #1: COVID-19 Will Be the Top Story of 2022

On the eve of year three of the COVID-19 pandemic, it is more likely than not that 2022 will simply mimic the cycle of hope and despair that has been experienced since the initial outbreak – a positive medical breakthrough, a decline in cases, a relaxation of guidelines, a spike and regression, new guidelines, rinse, repeat. During the summer of 2021, optimism began to swell in many corners. The widely discussed "new normal" was approaching and while many were excited by the "new," most were desperate for the "normal." Then, the weather turned cooler and a sense of dread returned, along with several new variants. Rinse. Repeat.



There is nothing to suggest that the cycle will be broken in 2022. This is not going to end well, and, as far as predictions go, it is not going to end this year. The issue, of course, is globalization – because no matter what one country or group of countries may do to combat the pandemic, the frictionless flow of goods, services, and people around the world will keep countries closer to a lower common denominator situation than to a final solution, at least in 2022. Sadly, this prediction is the easiest one that Ardent has made in this annual series.

Prediction #2: The COVID "Hangover" Will Last a Generation

This prediction is a companion to the one above and, unfortunately, extends beyond 2022. COVID has taken us all hostage and left a powerful imprint on everyone reading this report, even those wearing tinfoil hats. Despite Ardent's optimism last year, 2022 will not be the year when the new normal takes hold. Instead, it will be another year where families and businesses alike remain trapped in limbo – unsure in the near-term and unable to plan for the long-term. And, as devastating as the pandemic has been to some people, the longer-term effects from it will be felt for at least a generation. The strain on most health care systems, a majority of supply chains, and many businesses has been unrelenting and also well-documented. But, most citizens in the Western world have been shielded by the more severe and longer-term impact of COVID by their governments, which have provided massive stimulus and support to prop up industries, companies, communities, and individual families.

Over time, large portions of the population are being shaped and transformed by the negative impact of the radical change experienced over the last few years. For example, a generation of students has been negatively affected. How can they possibly reclaim those "lost" years and begin to fill the huge gaps in their education? How will developing minds process what has happened and how will it manifest in their adult lives? How will this impact the global trade balance? For example, the US and many western nations have become service economies. Does the ability to accept, and more importantly, deliver services from anywhere in the world marginalize Western-based white-collar services and consulting firms? Even if they are not marginalized in 2022, has COVID accelerated a large shift in where and by whom these services are



delivered over the next 20 years? That argument can be made. Can a dollar sign be placed on the loss of human experiences? The global citizenry is absolutely resilient, but there will be scars, they will be deep, and we will all have them.

Prediction #3: The Traditional Office Environment is Dead

Ardent's conversations with CPOs in 2020 and 2021 (many of whom also oversee the Corporate Real Estate "CRE" function) revealed that most executive teams were rethinking their office and workforce strategies. As the "distributed" workforce became the default approach, more and more individuals, teams, and organizations became comfortable working remotely. Early indications from Ardent's 17th Annual State of Procurement survey are that very few, if any, businesses plan for their workforces to return to the office 100% fulltime after the pandemic. The current hybrid work-model with employees spending some of their time in the office will be the preferred approach for most going forward. For procurement this means that spend will shift from real estate expenses to home office productivity equipment and tools. For the CPO, partnering with finance, HR, and CRE to optimize workspaces and help minimize costs will be vital.

Prediction #4: Hiring Becomes a 24/7/365 Activity. When geography is no longer a barrier to employment, the pool of potential candidates expands. This means that CPOs working in a "one company" town can begin to actively recruit in other towns, states, and time zones, creating the opportunity to upgrade talent levels by casting a much wider net. However, the flip side of that coin, obviously, is that the current employees are no longer tied to the one company in town, and top performers are at greater risk of being hired away.

The CPOs and hiring manager reading this report should take fast and direct action: Call a procurement leadership team ("PLT") meeting this week and begin to develop an active hiring and retention program. Start by cataloging every current staff position with a detailed job description including responsibilities and benefits. Research the best sources of potential new talent and use the new positions to build a talent pipeline. Then, set a standing meeting focused on hiring and retention, where the PLT, including the CPO, discuss strategies to retain the current staff with the development and communication of a



program that includes all of the extrinsic and intrinsic rewards that make your team, department, and enterprise, a great place to work.

Teams in need of help and ideas should visit Ardent's site, the Future of Work Exchange, (that focuses on the convergence of talent and innovation, as well as the contingent workforce) to help drive this initiative forward.

BIG Trend #2: Inflation is Here for the Duration of 2022

The annual rate of inflation in the United States hit 6.2% in October 2021, the highest in more than three decades, as measured by the Consumer Price Index (CPI). Other inflation metrics also have shown significant increases in recent months, though not to the same extent as the CPI. Inflation in 2021 and 2022 is a global phenomenon. Explanations for ongoing inflation include the continuing disruptions in global supply chains amidst the coronavirus pandemic; turmoil in many labor markets; the fact that today's prices are being measured against prices during periods of COVID-19-induced shutdowns; and strong consumer demand after local economies were reopened. Inflation is the mortal enemy of savings, and therefore the bane of any CPO's existence. Inflation cannot be beaten, but it can be managed. Doing so will require greater effort and focus from sourcing and category managers. And eSourcing automation will be more important in 2022 than any recent year. Succeeding in an inflationary environment will also require greater collaboration with finance and budget holders.

Seven Inflation-based Predictions

5. **The CPO-CFO partnership will thrive** in 2022 because two big issues – inflation and supply risk – are at the top of each executive's agenda.
6. As soon as the economy begins to slow and the stock market corrects, **the pressure to find more savings will increase** for most procurement departments, creating a spike in sourcing pipelines.
7. **Supply assurance will be a make or break concern** for many CPOs in 2022. It will be more important than price in many instances. This means that despite the increased pressure to find savings, "low price" suppliers will lose more bids this year than in recent times.



8. Inflation will also place **more pressure on CPOs to manage their department strictly within budget,** making staff retention and talent nurturing more difficult.
9. In an attempt to mimic the curation, specialization, and customization of orders available in their B2C lives, **procurement and sourcing teams will award more bids to the smart suppliers who justify higher prices by differentiating with greater customization and value-added services**.
10. Price increases for some goods and services will see sharp increases without a clear market explanation or rationale. To combat this, **sourcing teams will have to act with greater vigilance** as their sourcing capabilities, supply market intelligence, category expertise, and core instincts will be challenged this year as they try to manage or avoid major price increases in certain categories.
11. Some supply markets were probably manipulated in 2021 and some will be in 2022. The prediction here is that **in a few years, manipulation of some supply markets will be uncovered**. Be vigilant and keep good records.

BIG Trend #3: Everything Depends on the Supply Chain

More has been written about the supply chain in the last 2 years than in the entire history of humankind. Full Stop. According to these reports, the supply chain is now "central" to seemingly everything, which is very, very, very cool for procurement. Procurement's proximity to the supply chain therefore makes the function more important to business.

Conversely, the supply chain (and therefore procurement) is also to blame for everything. When stores have no bleach products, blame the supply chain. A spike in gas prices? Yep, blame the supply chain. It costs how much to rent a car to drive to Cleveland??? Hmm, must be the supply chain! The truth of the matter is that supply chains have become a catchall for the analysts/media unwilling or unable to understand the underlying truth that while supply chains are critical, the reasons why supply, pricing, and other issues arise are complex and generally unique to the specific situation (as readers of this report already know).

Five Supply Chain Predictions

12. **Internal support for procurement will reach an all-time high.** In 2022, more executives and business leaders have their performance reviews and bonuses linked to what happens in the supply chain. Anytime someone is professionally (and financially) vested in the work of procurement, they provide more attention and support.
13. **There will seem to be more supply chain disruptions in 2022.** With greater media coverage of global supply chains, there will be more reports about supply chain disruptions this year than ever before. All the "usual suspects" will be guilty of causing problems including:
    - Demand driven (lack of capacity)
    - Technical
    - Logistical
    - Weather

    Reminiscent of the Summer of the Shark when US media overhyped shark attacks, the media will chronicle all of the major and not-so-major mishaps. Whether the actual number of issues is greater than in previous years or not, it will feel like 2022 is the worst year ever.
14. **"Strategic" suppliers will grow in numbers and importance.** Given the need for more secondary sources of supply, procurement teams will work with a growing number of strategic suppliers. In many industries, the "bargaining power of suppliers" will increase.
15. As more customers align their wallets with their politics, **Environmental, Social, and Corporate Governance (ESG) initiatives will continue to gain more support and attention from executives;** procurement will play a key role in ESG for most enterprises.
16. Nonetheless, **many supplier diversity initiatives will stall in 2022** primarily because they lack clearly-defined goals and a strategy to achieve them.

BIG Trend #4: Digital Transformation is the Top CPO Priority in 2022

CPOs are going "all in" on digital transformation this year and more CPOs will prioritize these initiatives over all other programs. A digital transformation provides an opportunity for procurement teams to use technology as a means to reimagine the organization's entire scope of operations and how it performs. In 2022, these projects have become table stakes and a majority of CPOs plan to be "dealt in." The path to becoming a top department in 2022 starts here.

Prediction #17: The Data-driven CPO

Over the past 20 years, CPOs have evolved from classic "command and control" managers to transformational then strategic, now agile leaders. In 2022, more CPOs will be talking about becoming a "Data-driven" CPO as the big data opportunity stands as the great, new frontier for these executives to conquer.

BIG Trend #5: Procurement's Increasing Focus on and Use of Data

"In Data We Trust" is the theme of Ardent Partners' 17th annual state of procurement report that will publish in April. It is also a major theme for many CPOs who understand that getting better data and becoming more intelligent leads to better decisions and results. While most organizations classify themselves as data novices and only occasionally use data to drive strategy, the average procurement department's focus and aptitude on data is increasing significantly.



Three Breakthrough Technology Predictions

18. **"Apps" Have a Breakthrough Year** (for procurement departments everywhere). In yet another example of how the B2B technology world follows the one in B2C. The modular approach to utilizing different apps for specialized purposes while still operating within one main platform has been the default approach to smart device technology since the first iPhone. Apps have been building momentum in the B2B world for several years due to their ability to enhance the value of investments made in enterprise technology. As many procurement departments that have automated their core processes have discovered, it is nearly impossible for a solution suite to cover the entirety of their requirements.

Enter Procurement Apps, which tackle unique problems in a generally user-friendly way, while also offering light integration and an ability to close gaps across the source-to-settle process. In 2022, CPOs looking to optimize their technology stack will realize that there is an "App for that."

19. Vendor Payments Go Digital. Simply put, the time is ripe for digital payments to impact the B2B world. Successful digital payment platforms for B2C are starting to pursue the B2B market and will begin to gain traction. Additionally, cryptocurrency will be used (in small amounts at first) to pay suppliers. Cryptocurrency is now a completely viable investment instrument for some individual investors and as its regulation increases, it will become a more legitimate method to pay invoices. In 2022, many companies will begin pilot programs that use crypto as a way to pay a small segment of their suppliers. 2023 will be the breakthrough year, but 2022 is when this will start.

20. Predictive Technologies Impact Sourcing Strategy and Results. Predictive AI tools that analyze market data, market and industry factors, and eSourcing bid information will allow procurement teams to better identify and react to pricing trends and inefficiencies that have been hiding in plain sight for years. Given the challenges ahead, this technology is arriving at the right time, which is very exciting.



Conclusion

Despite the massive challenges brought on by the global pandemic, most procurement organizations enter 2022 with the wind at their back. But the sailing will be rougher for many procurement organizations, and sourcing teams must be ready for the unexpected throughout the year. Most CPOs will face greater pressure to achieve their performance targets, particularly in H2. This pressure, however, must not deter them from ensuring that they build and maintain an active talent pipeline and keep a steady focus on digital transformation. 2022 will be a very interesting, challenging, and rewarding year to work in procurement and most CPOS would not have it any other way. Let's go!

Ardent Partners' Procurement Predictions for 2022:

1. COVID-19 Will Be the Top Story of 2022
2. The COVID "Hangover" Will Last a Generation
3. The Traditional Office Environment is Dead.
4. Hiring Becomes a 24/7/365 Activity
5. The CPO-CFO Partnership Will Thrive
6. The Pressure to Find More Savings Will Increase
7. Supply Assurance Will Be a Make or Break Concern
8. More Pressure Manage Strictly within Department Budget
9. Customization and More/Better Value-added Services Will Help Win More Bids
10. Sourcing Teams Will Act with Greater Vigilance to Fight Inflation
11. Supply Market Manipulation Will Occur (Uncovered Years Later)
12. Internal Support for Procurement Reaches an All-time High
13. There Will Seem to Be More SC Disruptions in 2022.
14. "Strategic" Suppliers Will Grow in Numbers and Importance
15. ESG Initiatives Will Gain More Executive Support
16. Many Supplier Diversity Initiatives Will Stall
17. The Data-driven CPO
18. "Apps" Have a Breakthrough Year
19. Vendor Payments Go Digital
20. Predictive Technologies Impact Sourcing Strategy and Results

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About the Author:

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With 23 years in the industry and 13 years leading the charge at Ardent Partners, Andrew Bartolini is a globally-recognized expert in sourcing, procurement, supply management, and accounts payable.

As the Chief Research Officer at Ardent Partners, Andrew oversees all research and client programs including the annual State of the Market and Metrics that Matter eBook Series', Technology Advisor Reports, Ardent's monthly webinar series, as well as its in-person and virtual CPO Rising Summits.

Andrew is also the publisher of CPO Rising, the news and research site for Chief Procurement Officers and other procurement leaders (www.cporising.com) and the host of the industry's exciting new podcast, Procurement Rising.

Advisor to corporate executives and leading solution providers alike, Andrew is a sought-after presenter, having lectured and presented more than 525 times in nine different countries. Over the past decade, Andrew has benchmarked thousands of enterprises across all facets of their sourcing, procurement, supply management, and accounts payable operations and his research has been part of the Supply Chain Management curriculum at several US universities.

He actively covers the technology marketplace as well as trends in sourcing, procurement, supply management, and accounts payable and has been published or quoted in leading business publications including The Wall Street Journal, Business Week, Investor's Business Daily, Forbes, and Fortune, as well as the major trade publications focused on accounts payable and supply management.

Prior to becoming an industry analyst, Andrew developed, packaged, deployed, and used supply management solutions on behalf of enterprises in the Global 2000 while working for several prominent spend management solution providers. Additionally, his experience in strategic sourcing (where he managed sourcing projects totaling more than $500 million in aggregate client spend), business process transformation, and software implementation provides a "real-world" context for his research and writing.)

Andrew's post-MBA work started in management consulting and investment banking where he structured, managed, and advised on large capital market transactions. Andrew began his professional career running a homeless family shelter in Los Angeles. He welcomes your comments at abartolini@ardentpartners.com or 617.752.1620.

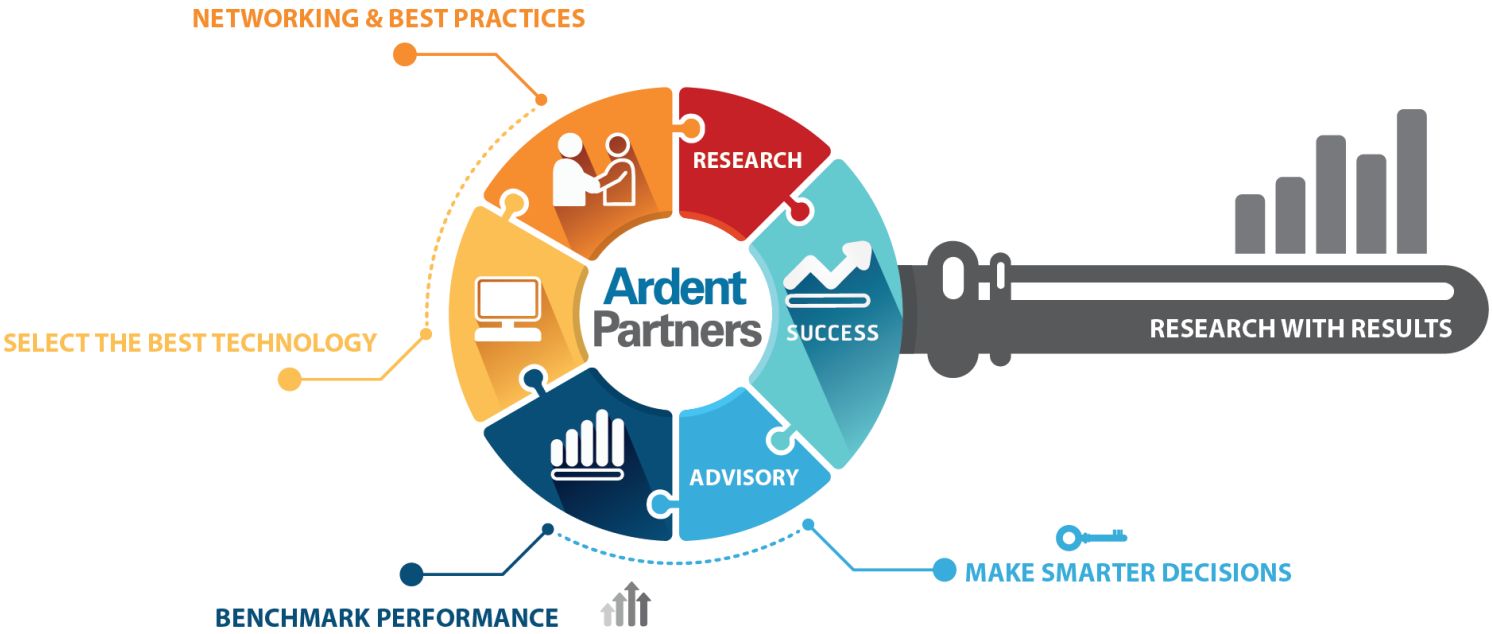
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